

ADVANTAGE Daily Drilling Fluids Report - 40

INTEQ

Rpt Date 16/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)			
Job# 1		Spud Date 05/Jul/2006		MD 1668.00 m		Progress 29.00 m		Present Activity Drilling Formation	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Terry Nanidis			
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4	HCC	PDC		19 1/2	178.00	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	84	421
Drill Collars			Drill Pipe			895.4	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	75	376
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
9 1/2	3	17.66	5	4.276	1408.10	416							
8 1/2	2.800	29.09	5	3	212.81	Tot Active							
						1311.4	Circulation Times						
						In Storage	Surface to Bit		4.7 min/748stks		Total System		69.1 min/10980stks
						848	Bottoms Up		42.4 min/6748stks				

Mud Properties					Max Ann Velocity		Hole Information				
Property	Fluid Spec	1	2	3	AV Riser	55.03 ft/min	Standpipe Pressure	2850 psi	Water Depth 152.00 m		
Sample From		Active Pit	Flow Line	Active Pit	AV Casing	238.74 ft/min	Hole Flow	798 USgal/min	Riser Booster Rate USgal/min		
Check Time		10:30	20:30	23:45	AV Open Hole	326.83 ft/min	Solids Analysis				
MD m		1639.00	1657.00	1668.00	Vc Open Hole	363.49 ft/min	Property	1	2	3	4
TVD m		1639.00	1657.00	1667.00	Vc Drill Pipe	0.00 ft/min	LGS %	7.64	9.19	9.14	
Bit Depth m		1639.00	1657.00	1668.00	Min Ann Velocity		LGS lb/bbl	69.64	83.71	83.29	
Density ppg	10.00-10.50	10.30	10.10	10.10	AV Riser	55.03 ft/min	HGS %	5.64	4.19	4.14	
Funnel Visc. sec/quart		58.0	59.0	61.0	AV Casing	151.38 ft/min	HGS lb/bbl	83.00	61.63	60.95	
Flow Line Temp degF		98.0	90.0	90.0	AV Open Hole	251.23 ft/min	Avg Dens Sol sg	3.2793	3.1009	3.0988	
Test Temp degF		94.0	100.0	100.0	Bit Information						
Rheol Temp degF		120.0	120.0	120.0	Size	12 1/4 in					
PV cP		25	20	22	Hours On Bit						
YP lbf/100ft^2		20	15	19	Bit Number						
10sec Gel lbf/100ft^2		8	6	7	BHA Number	4	Rheology				
10min Gel lbf/100ft^2		10	9	9	Depth In	1636.00 m	600 RPM	70	55	63	
HTHP Filtrate cc		4.0	4.0	4.0	Bit RPM		300 RPM	45	35	41	
HTHP Cake in/32		2.0	2.0	2.0	WOB	klbf	200 RPM	34	25	30	
HTHP Temp degF		250.0	250.0	250.0	Nozzles	7x16	100 RPM	23	15	22	
HTHP Pressure psi		500	500	500	Bit Hydraulics		6 RPM	7	6	7	
Retort Water %		20.0	20.0	20.0	TFA	1.3744 in^2	3 RPM	6	5	6	
Retort Base Fluid %		65.0	65.0	65.0	Nozzle Vel	186.2 ft/sec					
Retort Solids %		15.0	15.0	15.0	Bit Press Loss	313 psi	Hydraulic Analysis				
Corrected Solids %		13.3	13.4	13.3	HHP / Area	1.25 HP/in^2	Behavior Index (n)	0.371			
Oil:Water Ratio		76:24	76:24	76:24	HHP	18.3 %	Consistency Index (k)	3.499 #sec^n/100ft^2			
Alk (Whole Mud-POM) cc/cc		0.60	1.10	0.90			ECD @ Bit Depth	10.25 ppg			
Cl (Whole Mud-Clom) cc/cc		42000	40000	42000			ECD @ Casing Shoe	10.24 ppg			
Ca (Whole Mud-Caom) cc/cc		0	0	0	Fluid Comments/ Recommendations						
Excess Lime lb/bbl		0.8	1.4	1.2	Displaced hole to SBM, circulate and conditioned mud with Omni-plex, Omni-mul, carbogel, Lime and Cacl2. Received 722 bbls of 12.9 ppg/11.9 ppg SBM from boat. Reduce mud weight of mud received from the boat from 11.9 ppg to 10.0 ppg with Base oil and condition same to make up volume in the active pit and fill up sand traps. Charged off chemicals used to re-condition mud in town into mud cost. Cost of reconditioning mud equal to \$217,626.92. Actual daily mud cost is \$79,592.35						
Brine Density sg		1.22	1.21	1.22							
NaCl % wt		0	0	0							
CaCl2 % wt	25-27	25	24	25							
Elect. Stab.V		340.0	351.0	354.0							
Sand %			0.30	0.30	Drilling Comments						
					RIH to bottom and displaced hole to SBM. Condition mud and continue to drill 12 1/4" hole section.						

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Billy Oguguvwe/ Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	297219.27 USD	1035916.65 USD	398131.18 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	17.0	2 x 210	20.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	17.0	3 x 110	30.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	17.0	3 x 110	30.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	17.0	3 x 110	30.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	110	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added	722	Weight Materials		Downhole		Left In Pit		Starting Volume	1415	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	878.5	Casing w/o Pipe	709.3
Base Fluid	130	Product	26.5	Left In Hole		Injected		Daily Losses	134	Open Hole w/o Pipe	22.0
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2159.5	String Displacement	51.7
				SCE	110	Onshore Disposal		Net Change	744.5	String Capacity	89.4
				Evaporation		Returned				Total Hole w/ Pipe	895.4
				Other Losses	24					Total Active	1311.4
										Total Reserve	848.0

Circulate	13	Tripping	6	Drilling Formation	5		
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	296319.27	Daily Product Cost	0.00	Primary Product	994966.65
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	40950.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	297219.27	Total Daily Cost	0.00	Primary Total	1035916.65
Total Inventory Value	398131.18	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	387.87 UK ton

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
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Bulk											
BARITE - Imported	1000 kg	258					258	540.00		0.11	0.12

CARBO-GEL	25 kg	30		140			170		264.28	44927.60	4.57	3.85
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MIL-LIME	25 kg	280		80		120	240	34.25	4110.00	3.31	2.00
OMNI-COTE	55 USgal	8					8	2150.00			
OMNI-MUL	55 USgal	21		12		17	16	995.06	16916.02	2.24	0.85
OMNI-PELEX	55 USgal	11		4		11	4	1618.95	17808.45	3.33	1.42
OMNI-TEC	55 USgal	16		6		8	14	923.00	7384.00	0.62	
PARA-TEQ	1 bbl	674		500		680	494	280.00	190400.00		
SA 58	50 lb			12		12		97.10	1165.20		

CALCIUM CHLORIDE (97%)	50 lb	282		608			648	242	21.00	13608.00	3.00	1.82
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SODIUM CHLORIDE (5% W)	55 kg	25			55	25	2500	2500000	0.00	250
CAUSTIC SODA	25 kg	17				17	37.89		0.05	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189				189	46.85		66.88	75.01
XANTHANGUM D	25 kg	40				40	345.22		0.34	0.38

CALCIUM CARBONATE - FINE	25 kg	200					200	21.68		0.01	0.01
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GREYSTAR CARBONATE - FINE	25 kg	220			220	21.68		0.05	0.06
CALCIUM CARBONATE - MED	25 kg	220			220	21.68		0.05	0.06
KWIKSEAL - MEDIUM	50 lb	39			39	70.52		0.04	0.04
MIL-PLUG FINE	50 lb	84			84	27.01			
MIL-SEAL MEDIUM	50 lb	90			90	36.00			
SOLUFLAKE F	50 lb	158			158	57.24			
SOLUFLAKE M	50 lb	80			80	57.24			

SAW DUST	25 kg	30					30	12.50			
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